

CSIS JAPAN CHAIR

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● Japan Daily Brief

Monday, September 7, 2026

RE: Freedom Edge 2026 launches · DPRK commissions 2nd nuclear destroyer · Yen surges to 154 · BOJ hike bets intensify · Budget requests at pandemic scale

NIKKEI 225
66,399.84
▲ +0.28%
as of Sep 7

USD/JPY
154.67
▼ -3.18%
as of Sep 7

EUR/JPY
179.79
▼ -3.12%

BRENT
\$96.28
▲ +1.72%

10Y JGB
1.50%
yield

JAPAN 5Y CDS
20 bps
— flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
1.1%
Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 Freedom Edge 2026 — the US-Japan-ROK five-day trilateral exercise — launched today near Jeju Island as North Korea simultaneously commissioned its second nuclear-capable destroyer and Kim Jong Un declared it part of a nuclear response system.
- 2 The yen gained as much as 1.4% to ¥154.06 against the dollar, its highest since February, driven by escalating bets on a Bank of Japan rate hike at the September policy meeting.
- 3 Japan's FY2027 budget requests swelled to pandemic-era scale with ¥10+ trillion in defense spending and ¥11.7 trillion (approximately \$78 billion) in uncapped growth investment, as PM Takaichi accelerates a cabinet reshuffle seeking US-savvy ministers.

TOP STORIES

DPRK

Freedom Edge 2026 launches; North Korea commissions 2nd nuclear destroyer, Kim vows nuclear-armed navy

US-Japan-South Korea Freedom Edge 2026 exercises began today near Jeju Island as North Korea simultaneously commissioned its second nuclear-capable destroyer. Kim Jong Un declared the vessel part of Pyongyang's nuclear response system, per multiple reports citing KCNA.

So what: The simultaneous commissioning — the second nuclear destroyer in three months per LIGA.net — and Kim's explicit nuclear framing puts Japan's ballistic missile defense posture and the trilateral exercise scenario directly in focus for the five-day drill window.

Pattern: North Korea has a documented pattern of provocative military demonstrations timed to coincide with US-ROK-Japan exercises, including missile tests in the run-up to the September 7 exercise start reported in

prior digests.

MALAYMAIL.COM

ECONOMY/BOJ

Yen surges 1.4% to ¥154.06, highest since February, on BOJ rate-hike bets

Japan's yen gained as much as 1.4% to ¥154.06 against the dollar — its strongest level since February — driven by growing market conviction that the BOJ will raise rates at its September meeting. Separately, Japan's foreign securities holdings fell \$87.8 billion at end-August, consistent with the scale of recent yen intervention funded by Treasury sales.

So what: With hawkish BOJ board members publicly advocating for hikes and PM Takaichi's reflationist aide projecting a September move, the September BOJ Monetary Policy Meeting has become the proximate market event to watch.

per The Japan Times: "Yen rises to highest since February, topping intervention rally"

THE JAPAN TIMES

⚡ OVERNIGHT FLASH

ALLIANCE · THE JAPAN TIMES

Japan's defense budget to top ¥10T but falls well short of US's 3.5%-of-GDP demand

Tokyo's defense budget is expected to exceed ¥10 trillion in the current fiscal year, yet that figure remains far below the 3.5%-of-GDP target the US is pressing Japan to adopt. Japan's 2% target was already brought forward to JFY2025; the gap to the US ask is now a live negotiating issue.

POLITICS/DIET · ASAHI

Asahi survey: Challenger Koja leads incumbent Tamaki in Okinawa governor's race

An Asahi Shimbun survey shows Okinawa LDP-backed challenger Koja leading incumbent Governor Denny Tamaki ahead of the prefectural election. Tamaki is reportedly avoiding the Henoko base relocation issue while Koja has introduced a revised 'All Okinawa' platform.

STAT OF THE DAY

\$78B

Uncapped growth investment in Japan's FY2027 budget requests

Japan's FY2027 budget requests swelled to pandemic-era scale, including approximately \$78 billion in uncapped growth investment categories, per Nikkei Asia.

Source: Japan budget requests swell with \$78bn in uncapped growth investment — Nikkei Asia

REGIONAL PRESSURE WATCH WATCH

Normal — 17 items (Japanese government: 5, adversary signal: 12)

PM Watch: PM appeared today · 1 day(s) since last confirmed appearance — PM Takaichi stepped up cabinet reshuffle planning with an explicit focus on US-savvy ministers and lauded the transparency of Japan's record FY2027 budget requests, per Nikkei Asia and Japan Times reporting on her public statements.

CHINA

Chinese Foreign Ministry Spokesperson Mao Ning held the regular September 7 press conference; no new acute Senkaku CCG intrusion or escalatory China-Japan incident appears in today's articles. The

sustained Chinese Foreign Ministry framing of Japan's defense buildup as 'neo-militarism under the guise of national normalization' continues as the standing baseline.

NORTH KOREA

North Korea commissioned its second nuclear-capable destroyer — the vessel that capsized on initial launch — as Freedom Edge 2026 began today near Jeju Island; Kim Jong Un declared the destroyer part of Pyongyang's nuclear response system and pledged to build a nuclear-armed navy, per multiple reports citing KCNA.

RUSSIA

No new acute Russia-Japan territorial or military incident appears in today's articles; the sustained diplomatic standoff over Putin's Etorofu visit, Russia's August 21 Bastion missile live-fire from the disputed Northern Territories, and the disputed war-victory statue controversy continues as the baseline.

Senkaku / ECS: No new Senkaku CCG intrusion or East China Sea incident reported in today's articles; the sustained near-daily CCG contiguous-zone patrol pattern continues as the standing baseline.

"part of nuclear response system"

Kim Jong Un (attributed via KCNA) · North Korea's Kim Jong Un says new destroyer part of nuclear response system — WTVB

Bottom line: North Korea's commissioning of its second nuclear-capable destroyer, timed to the launch of Freedom Edge 2026, and Kim's explicit declaration of a nuclear-armed navy places Japanese BMD posture and trilateral deterrence directly on test for the five-day exercise window. The simultaneous BOJ rate-hike momentum and yen surge add a second near-term pressure point for Tokyo's policy bandwidth.

OP-EDS, COMMENTARIES & EVENTS

OP-EDS & THINK TANK COMMENTARY

ISEAS – YUSOF ISHAK INSTITUTE

ISEAS in the News: "Beyond the 'hawk' label: Japanese Prime Minister Sanae Takaichi's foreign policy through six international lenses"

PM Takaichi's foreign policy cannot be reduced to a 'hawk' label and must be evaluated across six distinct international-relations frameworks.

The ISEAS analysis examines how Takaichi's foreign policy posture — including her defense buildup advocacy, stance toward China, and approach to the US alliance — reads differently depending on which analytic lens is applied. The piece pushes back against simplistic characterizations of her as an uncomplicated security hawk. It situates her policy within Southeast Asian and broader Indo-Pacific perceptions that diverge from Western framings.

As Takaichi prepares to address the UN General Assembly on September 22 and potentially meets Trump ahead of his Xi talks, how regional capitals read her strategic intentions has direct bearing on Japan's coalition-building in the Indo-Pacific.

THE JAPAN TIMES

Bessent pushes BOJ as he signals end of Abenomics

US Treasury Secretary Scott Bessent is signaling the end of Abenomics-era monetary accommodation and the market expects not just a September BOJ hike but 'hawkish communication' accompanying it.

The Japan Times commentary argues a September BOJ hike is already effectively planned, and the operative market question is the tone of the accompanying guidance rather than the rate decision itself. It frames Bessent's public posture as applying external political pressure on BOJ normalization, adding a US-Japan alliance dimension to what is typically treated as a purely domestic monetary-policy question. The piece notes the yen's sharp move to ¥154 as reflecting these compounding dynamics.

If Bessent's public signaling is read by markets as US government pressure on BOJ policy, the September meeting becomes a test of BOJ independence as well as a rate-setting event — with implications for the yen, JGBs, and the US-Japan financial relationship.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
JNN · Sep 7, 2026	62.5%	34.9%	
Nikkei · Sep 5, 2026	62%	32%	
Asahi · Sep 5, 2026	53%	33%	
ANN · Sep 5, 2026	55.4%	29.9%	
Kyodo · Sep 5, 2026	50.2%	33.9%	
Mainichi · Jul 20, 2026 · 49d ago	41%	44%	
Yomiuri · Sep 5, 2026	56%	32%	
FNN · Sep 5, 2026	62.5%	32%	
NHK · Sep 5, 2026	52.8%	33.2%	
Jiji · Jul 16, 2026 · 53d ago	48.4%	26.9%	

Discourse: DPP leader Yuichiro Tamaki won a third term and declared the period one of 'making preparations to seize power,' while LDP-backed challenger Koja leads incumbent Denny Tamaki in an Asahi survey of the Okinawa gubernatorial race — two opposition-side developments on the same day.

Poll tracker: [Observing Japan approval-rating aggregator →](#)

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · MONDAY, SEPTEMBER 7, 2026

日本銀行 · BANK OF JAPAN · BOJ Governor Kazuo Ueda

Ueda declines comment on markets pricing September rate hike

BOJ Governor Kazuo Ueda stated he would offer no comment on market pricing of a September rate hike, per investingLive, even as hawkish board members publicly stepped up calls for further tightening. A reflationist aide to PM Takaichi separately projected a September hike, per The Straits Times.

→ [investinglive.com](#) ↗

財務省 · MINISTRY OF FINANCE

Japan likely sold US Treasuries to fund record yen intervention

Japan's foreign securities holdings fell by \$87.8 billion at end-August from a month earlier — close to the scale of the recent yen intervention — indicating Tokyo likely sold US Treasuries to fund the operation, per the Japan Times.

→ [The Japan Times](#) ↗

PERSONNEL CHANGES

Yuichiro Tamaki **CONFIRMED**

Democratic Party for the People (DPP) Leader

Yuichiro Tamaki was re-elected to a third term as DPP leader, per the Japan Times. He framed the term as a preparatory phase for the party to seek power.

Succeeds: Yuichiro Tamaki (previous term)

DIET SESSIONS / LDP

DPP (DEMOCRATIC PARTY FOR THE PEOPLE)

Tamaki wins third consecutive term as DPP leader

Yuichiro Tamaki won a third term as head of the opposition DPP and stated he aims to boost the party's presence, describing the new term as 'a period for making preparations to seize power,' per the Japan Times.

UPCOMING

SEP
7

Freedom Edge 2026 US-Japan-ROK trilateral exercises begin

Five-day Freedom Edge 2026 exercises launched today near Jeju Island, involving US, South Korean, and Japanese forces. North Korea simultaneously commissioned its second nuclear-capable destroyer.

SEP
22

PM Takaichi to address UN General Assembly

PM Takaichi is confirmed to address the UN General Assembly on September 22, per prior reporting. She is also reported to be seeking talks with US President Trump ahead of his meeting with China's Xi.

SEP
11

Freedom Edge 2026 exercises conclude (estimated)

The five-day trilateral US-Japan-ROK Freedom Edge 2026 exercise near Jeju Island is set to conclude approximately September 11, pending any extension announcement.

SEP
19

BOJ Monetary Policy Meeting (estimated)

Markets are pricing a BOJ rate hike at the September policy meeting; BOJ Governor Ueda declined to comment on pricing. Hawkish board members have publicly backed tightening.

OCT
26

Okinawa gubernatorial election

An Asahi Shimbun survey shows challenger Koja leading incumbent Governor Denny Tamaki; the Henoko base relocation remains a central but contested issue in the race.

US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

15% (incl. MFN, 2025 agreement)Steel **50%** SECTION 232Aluminum **50%** SECTION 232**Investment framework:** \$550B strategic investment framework (2025 agreement)**Section 301:** 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 122 surcharge expired July 24, 2026; Section 301 forced-labor tariff entered into force July 24, 2026

WIRE

BUSINESS & ECONOMY

TECH · NIKKEI ASIA · NEC

NEC scraps quantum computer development program

Japan's NEC Corporation abandoned its effort to develop a domestic quantum computer, per Nikkei Asia, marking a significant retreat from the government's national quantum technology push. The decision narrows Japan's quantum industrial base at a moment when allied technology competition is intensifying.

TECH · NIKKEI ASIA · RAKUTEN, AST SPACEMOBILE

Rakuten to launch satellite-to-cell service with AST SpaceMobile, a Starlink rival

Rakuten will debut a satellite-to-cell service in partnership with AST SpaceMobile, a competitor to SpaceX's Starlink, per Nikkei Asia, expanding Japan's non-terrestrial network infrastructure. The move has implications for Japan's dual-use communications resilience.

INDO-PACIFIC

TRILATERAL · KOREA JOONGANG DAILY

US, South Korea, Japan kick off Freedom Edge 2026 five-day trilateral exercises near Jeju

The US, South Korea, and Japan launched Freedom Edge 2026 near Jeju Island today, proceeding despite North Korea's prior 'threat' labeling and a missile test in the lead-up to the exercise window.

CHINA-JAPAN · CHINA MOFA

China Foreign Ministry holds regular press conference September 7 on Japan-related issues

Chinese Foreign Ministry Spokesperson Mao Ning held the regular September 7 press conference; specific Japan-related statements from this briefing are tracked under the adversary signal block.

ALSO TODAY / THE WIRE

DEFENSE · THE JAPAN TIMES

Japanese commercial banks remain cautious on defense sector loans amid reputational concerns

Commercial banks in Japan are navigating tensions between government pressure to fund the defense buildup and institutional concern over corporate-image deterioration from defense-sector lending, per Japan Times and Jiji Press.

ECONOMY/BOJ · NIKKEI ASIA

Tokyo Stock Exchange delistings on track for record third consecutive year

Delistings from the Tokyo bourse are set to reach a record for the third straight year, per Nikkei Asia, reflecting ongoing corporate restructuring pressures and TSE governance reform compliance costs.

ON THIS DAY

SEPTEMBER 8, 1951

The San Francisco Peace Treaty was signed on September 8, 1951, ending the Allied Occupation of Japan and establishing the framework for the US-Japan security relationship.

Tomorrow marks the 75th anniversary of the treaty's signing; Freedom Edge 2026 trilateral exercises began today, underscoring the enduring security architecture that grew from that postwar settlement.

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From the CSIS Japan Chair. This newsletter is automatically generated, so it may contain errors — please verify all information and sources before citing. To report errors or other issues, contact Deirdre Martin at dmartin@csis.org.

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